Showing contexts for: **specific performance property** in Parveen Garg vs Satpal Singh & Anr. on 11 May, 2018

Context size: Small | Current | Large | Larger

4. Respondents/defendants contested the suit and filed their separate written statements. It was pleaded that it was the appellant/plaintiff who did not have financial capacity and therefore the sale transaction could not be completed initially by 1.11.2003. It was also pleaded by the respondents/defendants that photocopies of the title deeds were handed over to the appellant/plaintiff before entering into of the agreement. It was also pleaded by the respondents/defendants that in the agreement to sell which is in the form of a single page Receipt-cum-Agreement, the appellant/plaintiff had interpolated the words that the transaction will be completed and payment made by 1.11.2003 or on the respondents/defendants making the property freehold whichever is later, whereas the appellant/plaintiff had to make payment of the sale consideration by 1.11.2003 and since in doing of which appellant/plaintiff failed, hence the amount paid by the appellant/plaintiff of the amount of Rs.4,00,000/- was forfeited. It was also pleaded that **specific performance** suit cannot be maintained because Agreement to Sell dated 1.9.2003 and the subsequent Compromise Agreement dated 24.11.2004 was only signed by the respondent no. 1/defendant no. 1 and not by the respondent no. 2/defendant no.2 who was the owner of the suit property and therefore the suit for **specific performance** did not lie as the owner is not a party to the agreement to sell and the Compromise Agreement dated 24.11.2001. It was further pleaded that in terms of the Compromise Agreement dated 24.11.2004 appellant/plaintiff had to pay the balance amount by 6.12.2004 but he again changed the date of 6.12.2004 to 16.12.2004 and did not complete the transaction by making payment of the balance sale consideration by

6.12.2004. Financial capacity of the appellant/plaintiff, and the appellant/plaintiff's readiness and willingness was also denied. The suit was therefore prayed to be dismissed.

Even for the sake of arguments if we take that the original agreement to sell was with the consent of respondent no.2/defendant no. 2, yet the subsequent agreement in the police station on 24.11.2004 was only of the appellant/plaintiff with the respondent no.1/defendant no. 1 and admittedly as on this date the appellant/plaintiff very much knew (since he knew since April, 2004 of respondent no.2/defendant no. 2 being the owner of the suit property), then there was no reason why the appellant/plaintiff did not enter into any agreement whatsoever with the respondent no.2/defendant no. 2 i.e the agreement dated 24.11.2004 is not with respondent no.2/defendant no. 2 but has been signed only by the respondent no.1/defendant no. 1. The argument of the counsel for the appellant/plaintiff that the appellant/plaintiff has been duped by the respondents/defendants, is an argument which goes against the appellant/plaintiff because once it is found that the respondents/defendants may have duped/defrauded the appellant/plaintiff by misrepresenting the respondent no.1/defendant no.1 to be the owner of the suit property and he was not the owner, then the result would be that admittedly there is no agreement to sell of the suit property of the respondent no.2/defendant no. 2 with the appellant/plaintiff, and once there is no agreement, then there cannot be **specific performance** of a non-existent agreement of the respondent no.2/defendant no.2 with the appellant/plaintiff. Any doubt in this regard is removed when we see the police complaint dated 7.10.2004 Ex.PW1/3 filed by the appellant/plaintiff with the police because in this police complaint the complaint of the appellant/plaintiff was of being duped into entering into of the agreement to sell although the respondent no.1/defendant no. 1 was not the owner of the suit property, and therefore obviously how can there be **specific performance** qua a property with respect to which there is no agreement to sell and the result would at best be of alleged duping of the appellant/plaintiff but definitely not of the grant of the relief of

the **specific performance**. The relevant paras in the complaint dated 7.10.2004 of the appellant/plaintiff to the police read as under:-

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16. A reading of the aforesaid paras shows that Courts have a bounden duty to take notice of galloping prices. Surely it cannot be disputed that the balance of convenience i.e. equity in the present case is more in favour of the defendants who have only received 10% of the consideration. If the hammer has to fall in the facts of the present case, in my opinion, it should fall more on the plaintiff than on the defendants inasmuch as today the defendants cannot on receiving of the balance consideration of `44,00,000/-, and even if exorbitant rate of interest is received thereon, purchase any equivalent property for this amount. Correspondingly, the plaintiff has had benefit of 90% of sale consideration remaining with him (assuming he has any) and which he could have utilized for purchase of assets including an immovable property. In **specific performance** suits a buyer need not have ready cash all the time and his financial capacity has to be seen and thus plaintiff can be said to have taken benefit of the 90% balance with him. It is well to be remembered at this stage that in a way that part of **Specific** Relief Act dealing with **specific performance** is in the nature of exception to Section 73 of the Contract Act, 1872 i.e. the normal rule with respect to the breach of a contract under Section 73 of the Contract Act, 1872 is of damages, and, the **Specific** Relief Act, 1963 only provides the alternative discretionary remedy that instead of damages, the contract in fact should be **specific**ally enforced. Thus for breach of contract the remedy of damages is always there and it is not that the buyer is remediless. However, for getting **specific** relief, the **Specific** Relief Act, 1963 while providing for provisions of **specific performance** of the agreement (i.e. **performance** instead of damages) for breach, requires discretion to be exercised by the Court as to whether **specific performance** should or should not be granted in the facts of each case or that the plaintiff should be held entitled to the ordinary relief of damages or compensation.

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18. Therefore, whether we look from the point of view of Section 20 sub-Section 3 of the **Specific** Relief Act, 1963 or the ratio of the judgment of the Supreme Court in the case of Saradamani Kandappan (supra) or even on first principle with respect to equity because 10% of the sale consideration alongwith the interest will not result in the defendants even remotely being able to purchase an equivalent property than the suit property **specific performance** cannot be granted. In fact, on a rough estimation, the property prices would have galloped to at least between 30 to 50 times from 1988 till date. I take judicial notice of this that in the capital of our country, like in all other megapolis, on account of the increase in population and rapid urbanization, there is a phenomenal increase in the prices of urban immovable property.